

AUTHORITY FOR EXPENDITURE (AFE)

AFE No.: AFE-2024-634 Date: June 21, 2024 Type: Drill and Complete

Operator: Lone Mesa Exploration, Inc.

Well: Whitaker 27-24 #3H

Location: Township 21 South, Range 26 East, N.M.P.M., Section 27: W/2, Eddy County, New Mexico

Objective Depth: 11,200 feet (Niobrara) Estimated Spud: Spring 2025

Estimated Costs (USD)

Cost Item	Dry Hole (\$)	Completion (\$)
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Location, roads, pad	312,500	0
Drilling rig & tools	4,000,000	0
Drilling fluids & chemicals	850,000	0
Cementing	525,000	187,500
Logging, testing, supervision	637,500	300,000
Surface & intermediate casing	800,000	0
Production casing & tubing	0	1,562,500
Wellhead & tree	0	225,000
Hydraulic fracturing	0	6,000,000
Facilities & tank battery	0	650,000
Contingency (10%)	712,500	892,500
TOTAL ESTIMATE	7,837,500	9,817,500

Intangible drilling costs (IDC) are generally deductible as incurred; tangible equipment is capitalized and depreciated. This AFE is an estimate; actual costs may vary. Approval authorizes Operator to incur the costs above for the joint account.

APPROVED -- OPERATOR: _____ Working Interest: _____

APPROVED -- NON-OPERATOR: _____ Working Interest: _____